

INTERIM FINANCIAL STATEMENTS

ASIA ASSET FINANCE PLC



ASIA ASSET
FINANCE PLC
The unconventional finance company

For the Six Months ended 30th September 2019

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	For the quarter ended			For the Six Month Ended			
	30.09.2019 LKR	30.09.2018 LKR	Change	30.09.2019 LKR	30.09.2018 LKR	Variance	Change
	Unaudited*	Unaudited*	%	Unaudited*	Audited*	LKR	%
Interest Income	759,877,120	657,023,639	15.7%	1,507,438,084	1,307,941,780	199,496,304	15.3%
Interest Expenses	(420,446,681)	(343,630,835)	22.4%	(833,594,406)	(681,768,070)	151,826,336	22.3%
Net Interest Income	339,430,440	313,392,804	8.3%	673,843,679	626,173,710	47,669,969	7.6%
Net Trading Gain/(Loss) on Equity Securities	-	(1,739)	-100.0%	-	(9,220)	9,220	-100.0%
Other Operating Income	97,272,437	35,557,287	173.6%	147,914,471	71,591,772	76,322,699	106.6%
Less: Operating Expenses							
Personnel Costs	(81,435,366)	(66,349,221)	22.7%	(153,728,110)	(140,072,255)	13,655,855	9.7%
Provision for Staff Retirement Benefits	(2,288,415)	(1,950,000)	17.4%	(4,576,830)	(4,200,000)	376,830	9.0%
General and Administration Expenses	(218,925,660)	(152,036,410)	44.0%	(405,947,140)	(288,472,566)	117,474,574	40.7%
Impairment Charge for Lease Rentals Receivable, Hire Purchase and Loans and Advances	(87,536,906)	(83,000,000)	5.5%	(170,195,240)	(170,000,000)	195,240	0.1%
Operating Profit before Value Added Tax on Financial Services	46,516,530	45,612,722	2.0%	87,310,830	95,011,441	(7,700,612)	-8.1%
Value Added Tax on Financial Services	(11,330,000)	(17,067,271)	-33.6%	(24,310,000)	(34,112,242)	(9,802,242)	-28.7%
Profit Before Taxation	35,186,530	28,545,451	23.3%	63,000,830	60,899,199	2,101,630	3.5%
Income Tax (Expenses) / Reversal	(6,150,000)	(6,759,276)	-9.0%	(8,950,000)	(23,069,628)	(14,119,628)	-61.2%
Profit for the Period	29,036,530	21,786,175	33.3%	54,050,830	37,829,571	16,221,258	42.9%
Actuarial Loss on Retirement Benefit Liability	-	-	-	-	-	-	-
Income Tax on Components of Other Comprehensive Income	-	-	-	-	-	-	-
Other Comprehensive Income for the Period Net of Tax	-	-	-	-	-	-	-
Total Comprehensive Income for the Period	29,036,530	21,786,175	33.3%	54,050,830	37,829,571	16,221,258	42.9%
Earnings Per Share - Basic	0.85	0.76	10.9%	1.36	2.73		-50.1%

* The above figures are provisional and subject to audit.

* Figures in brackets indicate deductions.

	30.09.2019 LKR Unaudited*	31.03.2019 LKR Audited*	Change %
ASSETS			
Cash and Cash Equivalents	595,917,384	643,777,198	-7.4%
Investment in Reverse Repurchase Agreements Against Treasury Bills and Bonds	825,453,929	691,744,740	19.3%
Financial Assets - Held for Trading	125	125	0.0%
Loans and Advances	7,804,056,967	7,453,374,463	4.7%
Lease Rentals Receivable and Hire Purchase	4,255,376,256	4,102,651,935	3.7%
Other Assets	21,985,184	16,511,803	33.1%
Income Tax Receivable	10,334,901	3,732,303	-45.4%
Vehicle Stock	11,348,141	18,913,569	-92.7%
Advances, Deposits and Prepayments	156,173,803	155,155,197	0.7%
Financial Assets - Available for Sale	506,659	506,659	-
Property, Plant and Equipment	150,802,965	158,680,580	-5.0%
Investment Property	399,213,647	393,818,513	1.4%
Deferred Tax Assets	249,583,726	249,583,725	0.0%
Intangible Assets	17,542,346	11,043,610	58.8%
Total Assets	14,498,296,033	13,899,494,420	4.3%
LIABILITIES			
Due to Banks	208,321,746	131,273,907	58.7%
Other Liabilities	22,747,842	217,163,369	-89.5%
Other Borrowed Funds	6,744,670,809	4,958,735,615	36.0%
Due to Customers	5,338,671,253	6,617,344,955	-19.3%
Retirement Benefit Liability	25,960,321	22,088,492	17.5%
Total Liabilities	12,340,371,972	11,946,606,338	3.3%
SHAREHOLDERS' FUNDS			
Stated Capital	1,791,478,691	1,640,493,541	9.2%
Retained Earnings	291,935,462	239,007,167	22.1%
Statutory Reserve Fund and Other Reserves	74,509,908	73,387,374	1.5%
Total Equity	2,157,924,062	1,952,888,082	10.5%
Total Equity and Liabilities	14,498,296,033	13,899,494,420	4.3%
Net Assets Per Share	18.29	18.18	0.6%

* Figures in brackets indicate deductions.

I certify that the above Interim Financial Statements are in compliance with the requirements of the Companies Act No. 7 of 2007 and give a true and fair view of the state of affairs of Asia Asset Finance PLC as at 30th September 2019 and its profit for the Period ended 30th September 2019.

.....sgd.....

Geethika Elwalage

Assistant General Manager - Finance

The Board of Directors is responsible for the preparation and presentation of these Interim Financial Statements.

.....sgd.....

R.J.A. Gunawardena

Director/CEO

.....sgd.....

Mr.C .Ramachandra

Director/Chairman

14th November 2019

Colombo

* The above figures are provisional and subject to audit.

	Stated Capital Rs.	General Reserve Rs.	Statutory Reserve Fund Rs.	Accumulated Profit/(Loss) Rs.	Total Rs.
Balance as at 1st April, 2018 (Audited)	<u>1,388,935,273</u>	<u>3,000,000</u>	<u>65,386,917</u>	<u>401,610,081</u>	<u>1,858,932,271</u>
Total comprehensive income for the year					
Profit for the six months ended 30.09.2018	-	-	-	37,829,571	37,829,571
Other comprehensive income (net of tax)				-	-
Total comprehensive income for the year				37,829,571	37,829,571
Transaction with equity holders recognized directly in equity					
Transferred to/from reserves During the Period	-	-	1,891,479	(1,891,479)	-
Balance as at 30th September, 2018 (Unaudited)	<u>1,388,935,273</u>	<u>3,000,000</u>	<u>67,278,396</u>	<u>437,548,174</u>	<u>1,896,761,842</u>
Balance as at 01st April, 2019 (Audited)	<u>1,640,493,541</u>	<u>3,000,000</u>	<u>70,387,374</u>	<u>239,007,167</u>	<u>1,952,888,082</u>
Profit for the six months ended 30.09.2019	-	-	-	54,050,830	54,050,830
Other comprehensive income (net of tax)		-			
Total comprehensive income for the year					
Transaction with equity holders recognized directly in equity					
Proceeds from right issue of ordinary shares	150,985,150.00				150,985,150
Transferred to/from reserves During the Period			1,122,534.16	(1,122,534)	-
Balance as at 30th September, 2019 (Unaudited*)	<u>1,791,478,691</u>	<u>3,000,000</u>	<u>71,509,908</u>	<u>291,935,462</u>	<u>2,157,924,062</u>

* The above figures are provisional and subject to audit.

* Figures in brackets indicate deductions.

	30.09.2019 Rs. Unaudited*	31.03.2019 Rs. Audited*
Cash Flows From / (Used in) Operating Activities		
Profit Before Tax	63,000,830	93,907,039
Adjustments for		
Depreciation and amortization	26,923,633	51,006,612
Impairment of lease hire purchase, loans and advances	170,195,240	357,620,797
Early termination of loans, leases and hire purchase	(10,157,077)	(35,561,373)
Non-cash items included in profit before tax (WHT and Notional tax)	(822,249)	(1,517,200)
Net Interest Margin Adjustment	-	24,153,962
Interest income on commercial papers	-	(6,234,305)
Profit on sale of vehicle stock	515,428	(86,431)
Profit on sale of held for trading securities	-	1,614
Gain/loss on fair valuation of held for trading securities	-	7,606
Gain/loss on fair valuation of Fixed Deposit	-	-
Gains from sale of property, plant and equipment, investment property and real estate inv	(108,578)	(2,841,867)
Gain from disposal of vehicle stock	-	-
Provision for retirement benefit liability	4,576,830	5,272,963
Interest expense on other borrowings	413,794,549	581,621,544
Profit from Operation Before Working Capital Changes	667,918,606	1,067,350,961
	-	-
(Increase)/Decrease in Lease Rentals Receivable and Hire Purchase	(190,882,995)	(1,936,369,097)
Increase in Loans and Advances	(476,217,123)	(862,275,657)
(Increase)/Decrease in Other Receivables	(5,473,381)	(924,414)
(Increase)/Decrease in Deposits and Prepayments	(1,018,606)	(47,300,314)
(Increase)/Decrease in Other Financial Assets	-	-
Increase in Deposits from Customers	(1,278,673,702)	261,277,709
Increase/(Decrease) in Other Liabilities	(194,415,527)	164,012,558
Net Cash From/(Used in) Operating Activities before Income Tax Payments	(1,478,762,728)	(1,354,228,254)
Taxes Paid	(14,730,350)	(31,617,521)
Gratuity Paid	(705,000)	(3,948,750)
Net Cash From Operating Activities	(1,494,198,078)	(1,389,794,525)
Cash Flows from / (Used in) Investing Activities		
Acquisition of Property, Plant and Equipment & Intangible Assets	(17,318,418)	(57,293,522)
Acquisition of intangible assets	(8,377,918)	(5,506,856)
Acquisition and proceeds from sale of Investment Property	(140,000)	(14,220,059)
Proceeds from sale of investment property	-	17,300,000
Investments in commercial papers	-	-
Investment/Proceeds from Commercial Papers	-	-
Acquisition and proceeds of Vehicle Stock	5,450,000	(37,565,049)
Proceeds from sale of vehicle stock	-	19,000,000
Proceeds from commercial papers	-	213,479,053
Proceeds from sales of held for trading securities	-	204,389
Proceeds from sales of property, plant and equipment	260,161	2,836,973
Net Cash Flows From/(Used in) Investing Activities	(20,126,175)	138,234,929
Cash Flows from / (Used in) Financing Activities		
Repayment of Other Borrowed Funds	(1,743,550,956)	(3,426,336,554)
Proceeds from Other Borrowed Funds	3,115,691,599	4,802,371,833
Dividends paid	-	-
Proceeds from Rigt issue	150,985,146	251,558,268
Net Cash Flows From/(Used in) Financing Activities	1,523,125,789	1,627,593,547
Net Increase in Cash and Cash Equivalents	8,801,536	376,033,951
Cash and Cash Equivalents at the Beginning of the Period	1,204,248,031	828,214,080
Cash and Cash Equivalents at the End of the Period	1,213,049,567	1,204,248,031
At the End of the Period		
Cash and Cash Equivalents	595,917,384	643,777,198
Investment in Reverse Repurchase Agreements Against Treasury Bills and Bonds	825,453,929	691,744,740
Bank Overdraft	(208,321,746)	(131,273,907)
	1,213,049,567	1,204,248,031

* The above figures are provisional and subject to audit.

	Finance Lease		Hire Purchase		Loans and Advances		Investment		Gold Loan		Other		Total	
	30.09.2019	30.09.2018	30.09.2019	30.09.2018	30.09.2019	30.09.2018	30.09.2019	30.09.2018	30.09.2019	30.09.2018	30.09.2019	30.09.2018	30.09.2019	30.09.2018
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Interest Income	630,758,114	381,114,914	184,254	1,094,788	507,138,726	635,843,429	55,481,077	51,398,099	296,735,291	208,532,328	17,140,622	29,958,223	1,507,438,084	1,307,941,781
Other Income	33,290,881	6,528,985	-	295,225	18,490,717	31,879,579	-	185,899	93,755,939	27,529,182	2,376,934	5,163,682	147,914,471	71,582,552
Total Revenue	664,048,994	387,643,899	184,254	1,390,013	525,629,443	667,723,008	55,481,077	51,583,998	390,491,230	236,061,510	19,517,556	35,121,905	1,655,352,555	1,379,524,333
Segmental Result	35,024,967	26,698,047	9,718	95,734	27,724,090	45,987,826	2,926,325	3,552,725	20,596,285	16,258,172	1,029,445	2,418,937	87,310,830	95,011,441
Value Added Tax on Financial Services													(24,310,000)	(34,112,242)
Profits from Operations													63,000,830	60,899,199
Income Tax Charge/Reversal for the Period													(8,950,000)	(23,069,628)
Net profit for the Period													54,050,830	37,829,572
Segment Assets	4,242,748,312	3,088,671,480	12,627,944	28,238,582	4,693,775,717	5,216,611,175	825,453,929	1,129,575,723	3,110,281,250	2,143,692,481	-	-	12,884,887,152	11,606,789,442
Unallocated Assets	-	-	-	-	-	-	-	-	-	-	1,613,408,881	801,386,563	1,613,408,881	801,386,563
Total Assets	4,242,748,312	1,221,623,119	12,627,944	219,610,439	4,693,775,717	5,684,287,268	825,453,929	993,453,450	3,110,281,250	1,099,089,716	1,613,408,881	640,692,395	14,498,296,033	12,408,176,005
Segment Liabilities	4,047,411,146	2,785,783,627	12,046,550	25,469,390	4,477,673,140	4,705,048,787	787,449,829	1,018,804,873	2,967,083,144	1,933,473,163	-	-	12,291,663,808	10,468,579,840
Unallocated Liabilities	-	-	-	-	-	-	-	-	-	-	48,708,163	42,834,323	48,708,163	42,834,323
Total Liabilities	4,047,411,146	1,079,119,247	12,046,550	193,992,606	4,477,673,140	5,021,208,016	787,449,829	877,565,856	2,967,083,144	970,879,520	48,708,163	62,185,056	12,340,371,972	10,511,414,163

In determining segment results,

Expenses have been allocated proportionately based

Segment Liabilities have been proportionately allocated based on the segment assets.

01. The Interim Financial Statements are in compliance with the Sri Lanka Accounting Standard - LKAS 34: Interim Financial Reporting and the provisions of the Companies Act No. 7 of 2007 and provide the information as required in terms of Rule 7.4 of the Colombo Stock Exchange.
02. The company has adopted consistent accounting policies and methods of computation as disclosed in the Annual Report for the year ended 31st March 2019.
03. The Interim financial statements of Asia Asset Finance PLC for the period ended 30th September, 2019 (including comparatives) were approved and authorized for issue on 14th November, 2019 in accordance with a resolution of the board of directors on 14th November, 2019.
04. The presentation and classification of the financial statements for previous periods have been amended where relevant for better presentation and to be comparable with those of the current period.
05. Earning per share has been annualised for the quarter ended 30th September, 2019 in the statement of Comprehensive income.
06. Subsequent to Balance sheet date ,no circumstances has arise that would require adjustments to or disclosure in the Financial statements.

07. Stated capital is represented by number of shares in issue as follows.

	30.09.2019	31.03.2019
Issued and Fully Paid Ordinary Shares (Quoted)	124,195,533	109,097,018

08. Market Value of Shares

	30.09.2019	31.03.2019
	Rs.	Rs.
Highest Traded Price	8.90	9.00
Lowest Traded Price	7.30	7.80
Closing Price	7.90	8.40

09. There has been no significant change to the contingent liabilities disclosed in the previous Audited Financial statements.

10. Major 20 share holders as at 30th September 2019

NAME	No of Shares	(%)
1 MUTHOOT FINANCE LIMITED	90,558,778	72.92
2 SEYLAN BANK PLC/SENTHILVERL HOLDINGS (PVT) LTD	7,560,504	6.09
3 J.B. COCOSHELL (PVT) LTD	4,242,950	3.42
4 MR S.D.R. ARUDPRAGASAM	2,460,638	1.98
5 PEOPLE'S LEASING & FINANCE PLC/MR.W.K.R.JAYAKODY	1,501,280	1.21
6 MR P.A.D.R.U. PUSHPAKUMARA	1,436,677	1.16
7 SEYLAN BANK PLC/W.D.N.H.PERERA	1,231,899	0.99
8 MR K.M.S.M. RAZEEL & MR K.S.M. RAJUBDEEN & MR S.M.R. MOHAMED	740,000	0.60
9 MUTIARA HOLDINGS (PRIVATE) LTD	510,000	0.41
10 MR C.W. GUNASEKARA	490,000	0.39
11 CODE-GEN INTERNATIONAL PVT LTD	424,118	0.34
12 DFCC BANK PLC/MR.K.S.D.SENAWEEERA	330,317	0.27
13 MR P.P. SUBASINGHE	302,623	0.24
14 MR C.R. PERERA	274,999	0.22
15 SAMPATH BANK PLC/MR. ABISHEK SITHAMPALAM	229,389	0.18
16 MERCHANT BANK OF SRILANKA & FINANCE PLC / W.K.R.JAYAKODI	207,264	0.17
17 MR U.C. BANDARANAYAKE & MRS L. BANDARANAYAKE	200,000	0.16
18 MR T.S. SALIM	197,495	0.16
19 MRS M. ARUDPRAGASAM	194,262	0.16
20 FAST GAIN INTERNATIONL LIMITED	183,411	0.15
	113,276,604	91.21
Othres	10,918,929	8.79
Total	124,195,533	100

No of Shareholders	% of Shareholding
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11. Shares held by public as at 30th September 2019

2,310 27%

12. Directors Share Holding

Name	No. of Shares 30.09.2019	%
Mr.Chandrakumar Ramachandra	80,000	0.073
Mr.Rajiv James Abeywickrema Gunawardena	-	-
Ms.Dayangani Priyanthi Pieris	60,000	0.054
Mr.R.A.T.P.Perera	-	-
Mr.G.Alexander	-	-
Mr.K.R.Bijimon	-	-
Mr.R.A.B. Basnayake	-	-
Mr.J.P.D.R. Jayasekara	-	-
Mr.K.G.K.Pillai	-	-

10. Utilization of right Issue Fund

Objective No	Objective as per Prospectus /Circular	Opening Date	Branch	Amount allocated as per Prospectus/Circular in LKR	Proposed date of utilization as per Prospectus/Cir	Amount allocated from Proceeds in LKR A	% of total proceeds	Amount utilized in LKR B	% utilization against allocation
1	Approved 10 branches	2018 November -19	Thalawakele	24,000,000.00	10.08.2019	24,000,000.00	6%	24,000,000.00	100%
		2018 November -19	Gampola	24,000,000.00	10.08.2019	24,000,000.00	6%	24,000,000.00	100%
		2019 January -16	Ragala	24,000,000.00	10.08.2019	24,000,000.00	6%	24,000,000.00	100%
		2018 November -24	Nawalapitiya	24,000,000.00	10.08.2019	24,000,000.00	6%	24,000,000.00	100%
		2018 December -21	Chunnakam	24,000,000.00	10.08.2019	24,000,000.00	6%	24,000,000.00	100%
		2019 February - 25	Puthukkudiyiruppu	24,000,000.00	10.08.2019	24,000,000.00	6%	24,000,000.00	100%
		2019 April -24	Kalmunai	24,000,000.00	10.08.2019	24,000,000.00	6%	24,000,000.00	100%
168,000,000.00				168,000,000.00		42%	168,000,000.00		

2	Approval Pending	2020 January -03	Puttalam	234,543,114	Balance Right proceed are invested with Money Market and Saving accounts of AAF
		2020-January -23	Balangoda		
		2020-February -13	Kalavanchikudy		
		2020-February -26	Akkaraipattu		
		2020-March-15	Badulla		
		2020-January -14	Awissawella		
		2020-April -22	Kothmale		
		2020-March 26	Welimada		
		2020-April 8	Haputhale		
		2020-May -12	Bandarawela		
		2019-Dec -20	Mullativu		
		2020-December- 09	Matale		
		2020-January -03	Kegalle		
				402,543,114.00	

13 Corporate Information

Name of the Company

Asia Asset Finance PLC

Legal Form

Incorporated as a Private Limited Liability Company under the Companies ordinance, no 51 of 1938 (Cap 145) on 23 September 1970 and name changed under the Companies ordinance, no 51 of 1938 (Cap 145) on 03 October 2006 and Re-registered under the companies Act No.07 of 2007 on 23 January 2008 and converted to a public company under the companies Act No.07 of 2007 on 20 March 2012.

Registration Number (Under the Companies Act No.17 of 1982)

PVS/PBS 3266

New Registration Number (Under the Companies Act No.7 of 2007)

PB 139 PQ

Registered Office

No.76/1, Dharmapala Mawatha, Colombo 03.

Telephone

011 5 66 99 22

Fax

011 2 57 74 77

E-mail

info@asiaassetfinance.lk

Website

<http://www.asiaassetfinance.lk/>

Board of Directors of the Company

Mr.Chandrakumar Ramachandra

Mr.Rajiv James Abeywicrema Gunawardena

Mrs.Dayangani Priyanthi Pieris

Mr.Thusitha Perera

Mr.George Muthoot Alexander

Mr.Kuttikattu Rajappan Bijimon

Mr.Kiran Gopala Krishna Pillai

Mr.Rajitha Ananda Bandara Basnayake

Mr.Danasiri Rupakumara Jayasekara

Company Secretary

P R Secretarial Services (Pvt) Ltd

59 Gregory Road,

Colombo 07.

Lawyers of the Company

Gunawardane & Ranasinghe Associates

1056 Mardana Road,

Colombo 08.

Company Auditors - External

BDO Partners

65/2, Sir Chiththapalam A Gardiner Mawatha,

Colombo 02.

Bankers of the Company :

Bank of Ceylon

Commercial Bank of Ceylon PLC

DFCC Bank PLC

Hatton National Bank PLC

Pan Asia Banking Corporation PLC

People's Bank

Sampath Bank PLC

National Development Bank PLC

Seylan Bank PLC

Indian Bank

Nation Trust Bank

Audit Committee

Mr.Thusitha Perera

Mr. Danasiri Rupakumara Jayasekara

Mr.Chandrakumar Ramachandra

Mr.Kiran Gopala Krishna Pillai

Mr.Rajitha Ananda Bandara Basnayake

Integrated Risk Management Committee

Mr.Chandrakumar Ramachandra

Mr.Thusitha Perera

Mr.Rajiv James Abeywicrema Gunawardena

Mr.Roshan De Silva Gunasekara (COO)

Mr. Danasiri Rupakumara Jayasekara

Mr.Kuttikattu Rajappan Bijimon

Remuneration Committee

Mr.Chandrakumar Ramachandra

Mr.Thusitha Perera

Mr.George Muthoot Alexander

Mr.Rajitha Ananda Bandara Basnayake

Mr.Danasiri Rupakumara Jayasekara

Related Party Transactions Review Committee

Mr.Danasiri Rupakumara Jayasekara

Mrs.Dayangani Priyanthi Pieris

Mr.Kuttikattu Rajappan Bijimon

Mr.Rajitha Ananda Bandara Basnayake

IT committee

Mr.Rajitha Ananda Bandara Basnayake

Mr.Rajiv James Abeywickrema Gunawardena

Mr.Chandrakumar Ramachandra

Mrs.Dayangani Priyanthi Pieris

Mr.Danasiri Rupakumara Jayasekara

Credit Committee

Mr.Danasiri Rupakumara Jayasekara

Mr.Rajiv James Abeywicrema Gunawardena

Mr.Chandrakumar Ramachandra